CHAPTER 3

ACCOUNTING EQUATION & ACCOUNTING CLASSIFICATION

LEARNING OUTCOMES

- At the end of the lesson, students should be able to:
- Identify the elements of financial statements
- Describe the basic accounting equation
- Describe the expanded accounting equation
- Relate the components in the statement of financial position and statement in profit or loss to the accounting equation

WHAT IS FINANCIAL STATEMENTS?

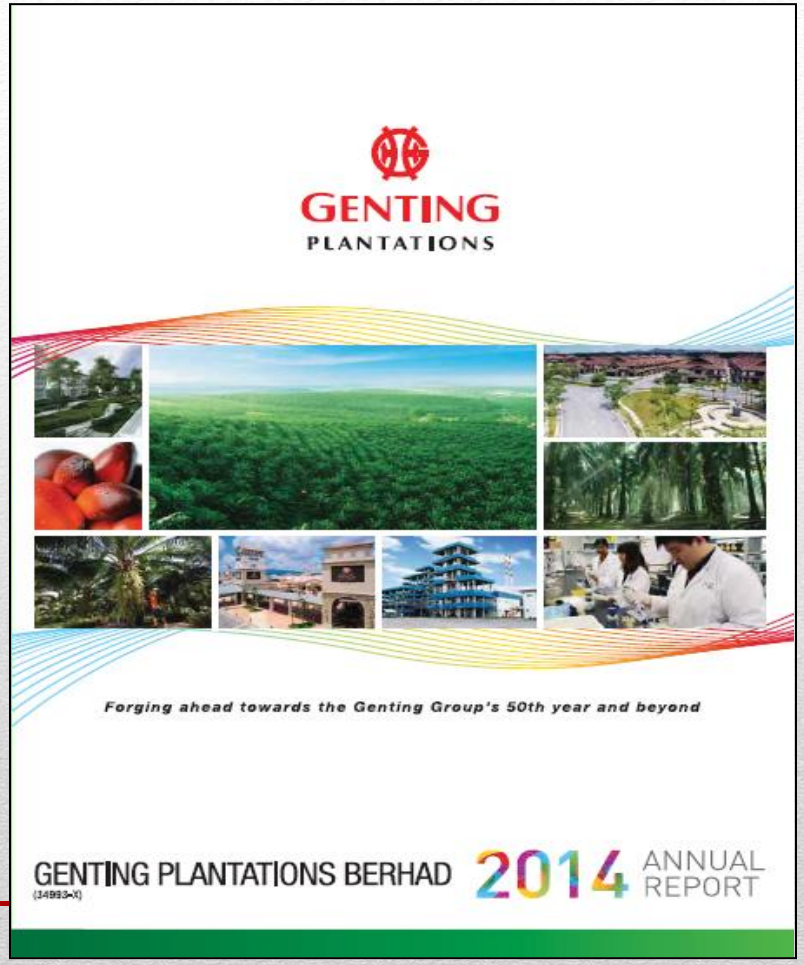
- Structured reports of a business's financial activities.
- Prepared on a regular basis- monthly/quarterly/half-yearly/yearly.
- Provide overall picture of a business' "health" and "wealth"

ELEMENTS OF FINANCIAL STATEMENTS

- There are FIVE elements of complete set of financial statements:
- Statement of Financial Position (SOFP)
- Statement of profit or loss (SOPL)
- Statement of Changes in Equity
- Statement of Cash Flows
- Notes to the accounts

EXAMPLES OF ANNUAL REPORT





1. Statement of Financial Position (SOFP)

- ✓ Shows the **financial position** of a business at a particular point of time.
- ✓ Financial position means disclosing or showing the total amount of **assets** that are owned by the business and the amount of contributions from the owners (**capital**) and borrowings (**liabilities**).

Elements of SOFP

- ASSETS
- LIABILITIES
- OWNER'S EQUITY

Super Supreme Enterprise
Statement of Financial Position as at 31 December 2013

	RM	RM
Non–Current Assets		230,000
Current Assets		
Inventories	28,500	
Bank	39,450	
Accounts receivable	16,000	
Prepaid expenses	2,500	86,450
		316,450
Financed by:		
Owner's Equity		
Capital		100,000
Add: Net Profit		56,550
		156,550
Less: Drawings		(6,600)
		149,950
Non–Current Liabilities		
5% Term loan		100,000
Current Liabilities		
Accounts payable	60,000	
Accrued expenses	6,500	66,500
		316,450





ASSETS



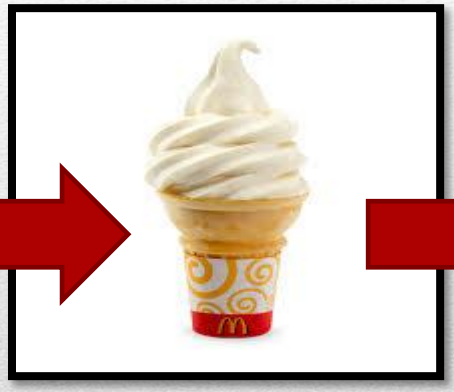


ASSET

- Assets are resources or items of value that the business owns and expected to generate economic benefit in the future.

ICE CREAM ‘GULA APONG’







ASSETS

NON-CURRENT/FIXED ASSETS

Kept and used on long-term basis
(>12 months)

TANGIBLE

Assets that have physical substance
Ex: land, building, plant & machinery, fixtures and fittings. equipment, motor vehicles

INTANGIBLE

Non-physical assets
Ex: goodwill, franchises, patents, trademarks and copyrights.

LONG-TERM INVESTMENTS

Bought for the purpose of earning interest or dividend
Ex: fixed deposit

CURRENT ASSETS

Cash and other assets which are short-term in nature
Normally can be converted into cash (<12 months)
Ex: inventories (stock), accounts receivable (debtor), cash, and bank.



LIABILITIES

PTPTN PERBADANAN TABUNG PENDIDIKAN TINGGI NASIONAL

BANK ISLAM

LIABILITY

1. The obligations of an entity to other entities.

2. External parties' claim to the business assets.

3. Amounts owed by a business to outside parties.

LIABILITIES

Non Current Liabilities

* Debts Repayable in more than a year (> 12 months)

Eg; Long term loan, mortgage, debentures

Current Liabilities

* Debt which are repayable within the year

(< 12 months)

Eg; accounts payable (CREDITORS), BANK OVERDRAFT, short-term loans

Owner's equity

- Owner's claim on the business assets.

✓ **Capital** : amounts contributed by the owner to the business (in the form of cash or other assets).

✓ **Accumulated Profits :** profits earned (or minus the loss incurred) and retained in the business.

✓ **Drawings** are the cash or goods taken by the owner for personal use.

Owner's equity = Capital + Accumulated Profits – Drawings

2. Statement of Profit or loss

- ✓ Shows the **financial performance** of a business during a period.
- ✓ Financial performance is measured by the profit earned or loss incurred during that period.

Elements of SOPL

= REVENUES

= EXPENSES

Your Business
Income Statement
For Year Ending Dec. 31, 20xx

Revenue:		
Gross Sales		0.00
Less: Sales Returns/Allowance		0.00
Net Sales		**0.00**
Cost of Goods Sold:		
Purchases	0.00	
Delivery Charges	0.00	
Cost of Goods Sold:		**0.00**
Gross Sales Profit(Loss)		**0.00**
Expenses:		
Expense #3	0.00	
Expense #4	0.00	
Expense #5	0.00	
Expense #6	0.00	
Expense #7	0.00	
Expense #8	0.00	
Expense #9	0.00	
Expense #10	0.00	
Total Expenses:		**0.00**
Net Operating Income:		**0.00**
Other Income:		
Income #2		0.00
Income #3		0.00
Total Other Income:		**0.00**
Net Income (Loss):		**0.00**

Revenues

- Income generated by the business, either from trading or normal operating activities.

REVENUES

SALES OF GOODS

Ex: KFC - Sales of fried chicken

RENDERING OF SERVICES

Ex: Fees from tuition fees

FROM THE USE OF THE BUSINESS' ASSETS BY OTHERS

- Rental income
- Interest income (cash deposit in a bank)
- Royalties (copyright)
- Dividend income (investment in share)

Expenses

- Cost incurred in the normal course of business to generate revenues.

EXPENSES

COST OF SALES
Purchases of stock
Eg- Freight, insurance and transport cost (carriage inwards) for bringing the goods to the business premise

SELLING AND DISTRIBUTION
Eg-Salesman's commissions

ADMINISTRATIVE
Eg- Electricity and water, rental expense, salaries and wages

FINANCE COSTS
Eg- Interests on loans, bank service charges

Accounting equation

Basic Accounting Equation:



ASSETS = OWNER'S EQUITY + LIABILITIES

Expanded Accounting Equation:



ASSETS + DRAWINGS + EXPENSES = CAPITAL + REVENUES + LIABILITIES

*[ADE=CRL)

RM100,000 ONLY



ASSETS = OWNER'S EQUITY + LIABILITIES

Accounting equation

Basic Accounting Equation:



ASSETS = OWNER'S EQUITY + LIABILITIES

Expanded Accounting Equation:



ASSETS + DRAWINGS + EXPENSES = CAPITAL + REVENUES + LIABILITIES

*[ADE=CRL)

ACCOUNTING EQUATION

Assets (RM)	=	Liabilities (RM)	+	Owner's Equity (RM)
100,000		60,000		
80,000				30,000
		100,000		200,000
65,400				30,000
58,000		23,000		
400,000				2

ACCOUNTING EQUATION

Assets (RM)	=	Liabilities (RM)	+	Owner's Equity (RM)
100,000		60,000		40,000
80,000		50,000		30,000
300,000		100,000		200,000
65,400		35,400		30,000
58,000		23,000		35,000
400,000		399,998		2

EXAMPLE OF TRANSACTIONS AND ITS EFFECT ON THE ACCOUNTING EQUATION

The followings are the transactions at the beginning of the business for Insyirah Enterprise:

DATE	TRANSACTIONS	ASSETS =	LIABILITIES +	OWNER'S EQUITY
2009 Jan 1	Ali started a business with RM10,000 cash in hand ***Effect: Cash increase and capital increase***	Cash +RM10,000		Capital +RM10,000
2	The business deposited RM8,000 of the cash into the bank account ***Effect: Cash decrease and bank increase***	Cash -RM8,000 Bank +RM8,000		

EXAMPLE OF TRANSACTIONS AND ITS EFFECT ON THE ACCOUNTING EQUATION

DATE	TRANSACTIONS	ASSETS	LIABILITIES	OWNER'S EQUITY
2009 Jan 3	Received loan by cheque RM5,000 ***Effect: Bank increase and loan increase***	Bank +RM5,000	Loan +RM5,000	
4	Purchased furniture worth RM1,000 by cheque ***Effect: Furniture increase and bank decrease***	Bank -RM1,000 Furniture +RM1,000		
5	The owner took cash RM100 for his own use ***Effect: Cash decrease and capital decrease***	Cash -RM100		Drawings -RM100

SOURCES

- Nichol, E.O., Joseph, C., Ismail, F. & Noyem, J. A. (2013). *Essentials of Business Accounting*. (3rd Edition). PENERBIT UITM.
- Google images
- http://www.bemoneyaware.com/blog/four_corner_stones/

thanks!

Any questions?